

ers. Under this, a countervailing duty (CVD) on imports at 12.5 per cent and excise duty at 1 per cent without input tax credit (or 12.5 per cent with input tax credit) were levied on domestic mobile phone manufacturers. This differential duty provided the necessary impetus to the assembly, programming, testing and packaging (APTP) model in the sector and provided domestic manufacturers a level-playing field. Earlier, imported mobile components or finished goods provided stiff price competition to domestic players as India is a signatory to the World Trade Organisation's Information Technology Agreement (ITA-1).

As a result, the value of handset manufacturing in 2015-16 increased to ₹ 540 billion from ₹ 190 billion in 2014-15—according to data compiled by the Indian Cellular Association (ICA), the industry association representing mobile phone brands.

In the current financial year (FY 2017-18), PMP covers domestic manufacturing on components related to mechanics, die-cut parts, microphones and receivers, keypads and USB cables. In the next financial year (FY 2018-19), it will cover printed circuit board assemblies, camera modules and connectors, while in FY 2019-20, it will provide incentives for local production of display assemblies, touch panels/cover glass assemblies, and vibrator motors or ringers.

However, the current notification lacks detailed information on tax benefits, incentives, etc for different components and products. Availability of a detailed guideline would help the industry.

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Expert's view

The Phased Manufacturing Programme (PMP) is a three-year-old initiative and the Indian government is consistently announcing tax differences on import vis-a-vis domestic manufacturing of mobile phones and their parts. With GST coming on the scene, differential duty benefits provided through CVD difference will not be effective.

Now local manufacturing of mobile phones may be encouraged only by providing direct fiscal incentives to manufacturers and/or reengineering of BCD rates on import of finished mobile phones and their parts, accessories and sub-parts, etc. Recently, Ministry of Electronics & IT notified fiscal incentives for manufacture of mobile phones, their parts and sub-parts, spread over a timeline of four years. However, there is not much clarity on the indicative list of items and incentives. The industry welcomes PMP announcement but wants clarity on its modalities and applicability.

The industry and even the government is not very clear about the GST implementation issues and all stakeholders are in a wait-and-watch mode. As mentioned above, the government needs to come clear on the advantages to manufacture mobile phones in India rather than import in the upcoming GST regime.

Currently, GST on mobile phones is 12 per cent, which is considered to be low. At the same time, some components, parts and accessories of mobile phones attract 18 or 28 per cent GST. This will create an inverted duty structure in mobile phone manufacturing, ultimately blocking a heavy amount as credit overflow. It is significant to mention that mobile phone parts and accessories are being manufactured in India on a significantly greater scale. This industry will be adversely impacted. All parts, sub-parts, components and parts for the manufacture of sub-parts should be confined to 12 per cent GST.

—*Electronics Industries Association of India (ELCINA)*

GST: Good or bad?

Goods and service tax (GST) is a 'one nation one tax' policy, which may leave little room for industry-specific sops like differential benefits for domestic mobile phone manufacturing. Mobile brands that have already set up assembly or manufacturing units in India, and rely on various tax concessions from central and state governments, may face some challenges once the GST regime is introduced. Since GST is a destination-based tax on consumption, it will not be possible for states to continue to provide the current VAT exemptions. Since GST will subsume all taxes, the excise/CVD advantage given by the Centre to local manufacturers will also be difficult to retain.

Clarity on GST rates may help interim business plans but creating the necessary duty differential (through basic customs duty or BCD) to safeguard local mobile phone manufacturing

initiatives is a critical responsibility of the government.

After GST implementation, mobile phones will fall under 12 per cent tax bracket. The additional price burden due to the GST rate fixed at 12 per cent will have to be passed on to the consumers to sustain profitable growth for the business. Industry members feel that, in keeping with the objectives of 'Digital India,' the ideal GST rate should have been 5 per cent.

Moving forward

Mobile manufacturing sector in India suffers from a host of problems, including stringent labour laws, poor infrastructure and inefficient supply chain. These factors are hindering the growth of this sector, leading to sub-optimal profit levels for local manufacturers. Favourable government intervention may help. There is also a need to focus on research and development, including intellectual property creation in sync with emerging technology trends, to help manufacturers become innovators and explorers rather than imitators and assemblers. **EFY**